

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics & Monetary Premium

121.6M

ETH SUPPLY

\$2,243

ETH PRICE

0.1 Gwei

BASE GAS



ETH Supply Growing at +0.83%/Year

192 ETH burned vs 19,638 ETH issued — only 1% offset ratio

+19,638

ETH ISSUED (7D)

192

ETH BURNED (7D)

121.6M

TOTAL SUPPLY

0.01x

BURN/ISSUANCE RATIO

+19,638 ETH

7-DAY ISSUANCE VS BURN COMPARISON



Base Gas at Historic Lows: 0.1 Gwei

EIP-1559 burn mechanism suppressed by historically low fee environment

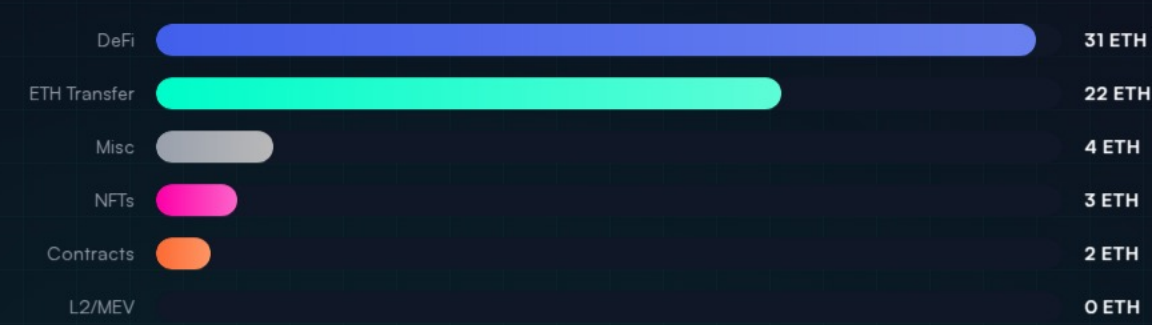


Blob fees: avg 7.1M wei, only 0.15 ETH burned over 7 days (~\$319)

Note: Long-term projections assume 22 Gwei equilibrium — far above current 0.1 Gwei levels.

DeFi & ETH Transfers: 85% of Weekly Fee Burn

192 ETH total burned across all categories



Top Burn Leaderboard

ETH Transfers	21.74 ETH
Tether USDT	13.55 ETH
DeFi contracts	9.3 ETH

7-day burn record: 0.07 ETH in a single block



38.9M ETH Staked at 2.7% Rewards

Scarcity engine locking 9.1M ETH for avg 10.7 years



2.7%

Issuance APR

0.1%

Tips

0.1%

MEV

2,800

ETH/DAY POS ISSUANCE

2,200

ETH/DAY FEE BURN*

*Normalized assumptions at higher gas levels

Long-Term Equilibrium: 125.7M ETH

200-year supply trajectory converging toward equilibrium at 22 Gwei average gas



39M

ETH STAKED (ASSUMPTION)

22 Gwei

AVG GAS (ASSUMPTION)

1,037K

ETH/YEAR AT EQUILIBRIUM

ETH: 18.7% of Bitcoin's Market Cap

Securing \$307B+ in total value — growing monetary premium

18.7%

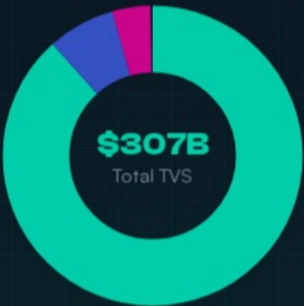
vs Bitcoin

0.89%

vs Gold

1.30%

vs USD



- ETH Native: \$272.76B
- ERC20s: \$22.21B
- NFTs: \$12.66B

Top ERC20s

Dai	\$4.41B
SHIB	\$3.51B
Cronos	\$2.97B

Top NFTs

CryptoPunks	\$2.13B
BAYC	\$0.68B

Key Takeaways: **Ultra Sound Money** Thesis

Honest acknowledgment of current headwinds while maintaining conviction

- 1** **ETH is currently mildly inflationary** at +0.83%/year due to historically low gas (avg 0.1 Gwei), with burns offsetting only ~1% of issuance over the past 7 days.
- 2** **The burn mechanism works — but requires sustained on-chain activity.** DeFi and ETH transfers dominate burn at 85%, but absolute volumes are negligible at current gas levels.
- 3** **38.9M ETH (32% of supply) is staked,** creating a significant supply lock with validators earning ~2.7% APR primarily from protocol issuance rather than tips or MEV.
- 4** **Long-term equilibrium is structurally sound at 125.7M ETH,** but requires sustained ~22 Gwei average gas to balance issuance and burn — the ultra sound money thesis depends on on-chain activity recovery.

Critical variable: **on-chain activity recovery to drive gas fees above 22 Gwei equilibrium.**